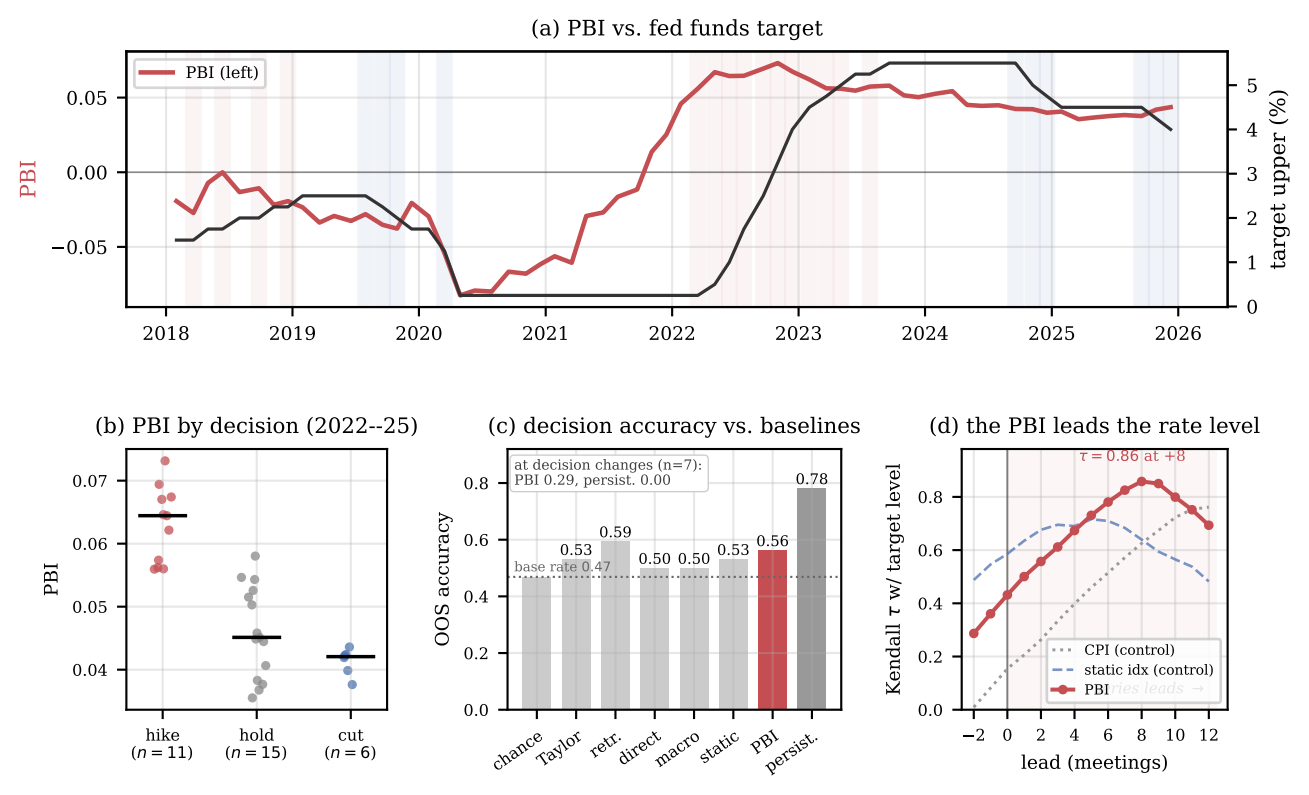
(a) PBI vs. fed funds target
PBI (left)
PBI
target upper (%)
0.05
0.00
−0.05
5
4
3
2
1
0
2018
2019
2020
2021
2022
2023
2024
2025
2026
(b) PBI by decision (2022--25)
PBI
0.07
0.06
0.05
0.04
hike
(n = 11)
hold
(n = 15)
cut
(n = 6)
(c) decision accuracy vs. baselines
at decision changes (n=7):
PBI 0.29, persist. 0.00
base rate 0.47
OOS accuracy
0.8
0.6
0.4
0.2
0.0
0.53
0.59
0.50
0.50
0.53
0.56
0.78
chance
Taylor
retr.
direct
macro
static
PBI
persist.
(d) the PBI leads the rate level
τ = 0.86 at +8
Kendall τ w/ target level
CPI (control)
static idx (control)
PBI
lead (meetings)
−2
0
2
4
6
8
10
12